

CHRONOS CAPITAL · INVESTMENT ANALYST PIPELINE

Spock v4

How Chronos's AI investment analyst evaluated Pegasus

PEGASUS DEAL WALKTHROUGH · 19 MAY 2026

THE PROBLEM

Investment diligence breaks at scale.

Even the best diligence misses things. A 500-page substrate has thousands of claims. A 90-minute partner meeting cannot catch every fabricated number, every silently-superseded projection, every confabulation between sources.

Spock fixes this.

WHAT IS SPOCK?

A team of AI agents that read your deal substrate, check each other's work, and produce a partner-ready IC paper.

Six specialist analysts. One fact-checker. One discipline. Zero copy-paste.

WHY "SPOCK"?

Logic. Discipline. Asks the questions humans skip.

Named for the same reason a partner asks "*what would have to be true?*" before signing off on a thesis. Spock does the boring rigorous part well so the partner can focus on judgement.

HOW IT WORKS · HIGH LEVEL

Read. Verify. Consolidate. Verify again.



Plus: deep-research workstreams, doctrine library, standing rules.

Each one is an analyst with a single discipline.

PEOPLE & CULTURE

Does management have the bench to execute? Who's leaving and why? Who's in the deal documents but not the management deck?

VOICE OF CUSTOMER

What do customers actually say? Where does management's commissioned DD diverge from the public record?

COMPANY HISTORY

The audited paper trail. Court rulings. Board appointments. Secondary sales. Regulatory actions.

COMPETITOR ANALYSIS

How wide is the moat? Who else is doing this? Where does the management narrative break against the commissioned DD?

AI UNIT ECONOMICS

Is this company a real AI tool-user, or marketing it? Does the AI claim show up in the audited financials?

RED FLAGS

Forensic ratios. Governance risks. Audit-firm quality. Legal proceedings. The things that kill deals 18 months after close.

THE KILLER FEATURE

Every agent's work is paired with a fact-checker.

The fact-checker reads the same source documents directly. Independently. And tries to break the agent's claims.

If the agent says **X**, the fact-checker asks: *show me X on the page*.

No claim ships to the IC paper without a paired verifier verdict.

THE PEGASUS RUN

We ran Spock v4 on the **Pegasus** deal.

Standard Bank invited Chronos into a \$33.9m syndicate at Round F (October 2025). Chronos slot: \$13.9m / c. 1.99% of Pegasus.

The substrate: four PDFs — Management Presentation (Sep 2024), FTI Commercial Due Diligence (Sep 2024), EY Financial Due Diligence (July 2025), Long Range Plan (May 2026).

Plus four months of regulatory and legal events — Kenya Tax Tribunal rulings, High Court filings, a Capital Markets Authority complaint.

CATCH #1 · THE \$165M REVENUE ERROR

\$253m → \$418m

The Company History agent said Pegasus's FY24 revenue was \$253m.

The fact-checker opened the audited Companies House accounts directly. Actual figure: **\$418m total**. The agent had read only the goods-sale sub-line and missed the \$164.5m interest income line.

\$165m material error caught — before it propagated into the IC paper.

Source: Companies House page 4 directors' Strategic Report KPI table. Cross-checked at EY FDD page 31 (\$419.5m total revenue, \$1.5m apart from Companies House).

CATCH #2 · CONFABULATION

Verified *vs* Inferred

The Hardware Moat agent reported: *"Samsung Knox Guard — Pegasus's lockout technology — is also used by Watu Credit. The moat is eroding."*

The fact-checker flagged: **the word "Knox" appears nowhere in Pegasus's substrate.** Whether Pegasus actually uses Knox Guard is *analyst inference*, not verified fact.

Confabulation caught. The Knox question is now an IC-blocking question for the Nairobi management session.

FTI Commercial DD page 40 says Pegasus's tech stack was "developed in collaboration with Pegasus" — inconsistent with off-the-shelf Knox Guard.

CATCH #3 · CHART READ BACKWARDS

Former 4.3% · New AI 2.2%

The AI Unit Economics agent reported the New AI Model was at 4.3% prediction-error and the Former Model was at 2.2% — i.e. AI was worse than the rules-based predecessor.

The fact-checker opened management's slide deck and re-read the chart directly. **The values were flipped.** Former Model is 4.3%. New AI Model is 2.2%. The AI is roughly half the error rate.

Chart-read error caught. The AI thesis pillar is now confirmed at "grade B" — real, with a defined path to "grade A" via cohort decomposition evidence.

CATCH #4 · THE STALE FORECAST INPUT

\$546m → \$775m

The DCF financial model was built using \$546m as Pegasus's FY26 starting revenue.

The fact-checker traced this back. \$546m was an older Sep 2024 projection — now superseded. Pegasus's own Long Range Plan FY26 figure is **\$775m**.

Re-running the DCF with the corrected starting point gives Chronos equity value of **\$1.05 billion** versus the Round F sponsor anchor of \$699m.

+49% intrinsic-value premium to entry, not the +23% the uncorrected model showed. Material for the Standard Bank conversation.

INFORMATION SANCTITY · EVERY CLAIM TRAVELS WITH A TIER

Not every source is equal. Spock keeps track.

T1 · PRIMARY

Audited statements. Court records. Patent registries. Companies House filings. Independently-commissioned diligence reports.

T2 · NAMED-BYLINE SECONDARY

Financial Times. Reuters. Business Daily Africa. Named-byline reporting.

T3 · AGGREGATORS

Industry blogs and aggregator sites. TechCabal. TechCrunch. Useful for triangulation, not for headline claims.

T4 · UNVERIFIED

Glassdoor. Reddit. Anonymous reviews. Flagged but never load-bearing.

Tiers stay attached as claims move through the pipeline. No T4 claim ever ships as load-bearing.

Four rules apply to every IC paper Spock produces.

RULE 1 · NO CUMULATIVE VANITY METRICS

Commercial sections use active figures. No "X million customers since inception." Forces analysts to talk about what's working now, not what's accumulated.

RULE 2 · INDEXING CONVENTION

100 = peer median, always. All comparative scoring lives in the 50–150 range. No 1–5 scales. No 0–100 ladders. The convention forces every score to be referenced against something real.

RULE 3 · CHRONOS SCAR TISSUE STAYS INTERNAL

If Chronos has historical experience with a sector or jurisdiction that informs risk weighting — that experience shapes the analysis but is never named in the paper body. *We don't burn portfolio relationships.*

RULE 4 · DIRECTIONAL INPUTS ARE NEVER EVIDENCE

Meeting notes. Verbal-only diligence inputs. Recorder transcripts. These shape questions; they never cite as evidence. If a meeting note disagrees with audited data — the meeting becomes a management question, not a paper claim.

THE RESULT · 19 MAY 2026

A complete IC paper draft.

THE PAPER

20 IC paper sections drafted. Each grounded in verified source documents. Each cross-checked against the upstream agent verifiers.

THE DD PACK

43 management-session questions organised into 7 executive interview blocks for the Nairobi visit, plus 5 on-site observation tasks and 40+ document requests.

THE FINANCIAL MODEL

7-tab Excel DCF with three toggleable scenarios (bear / base / bull), sensitivity table, and dashboard.

THE AUDIT TRAIL

Every fact verified. Every confabulation caught. Every cross-doctrine inference tagged. Every standing rule respected.

WHAT SPOCK FOUND · THE GOOD

Pegasus is a real Tool-User-grade-B compounder.

- ✓ **Audited 4.3× year-on-year operating-income improvement.** First-year positive group EBITDA on FY24 statements. The financial signature of the AI underwriting improvement is real, not narrative.
- ✓ **12% positive directional beat.** Management projected \$374m FY24 revenue at Sep 2024. Audited actuals came in at \$418m total. Management is conservative-by-12%, not aggressive-by-X.
- ✓ **AI underwriting model independently confirmed at grade B.** Fact-checker re-read the management chart. New AI Model is approximately half the prior rules-based model's error at every loan-duration decile.
- ✓ **49% intrinsic-value premium to entry.** Chronos triangulated equity value \$1.05bn against Round F sponsor anchor of \$699m.
- ✓ **Proprietary partner-track access** via Standard Bank as principal underwriter. Not won in competitive auction.

Six binary closure items before partner committee.

- △ **Patent expires November 2031.** 5.5 years. **No Nigeria coverage.**
Pegasus's own forecast has Nigeria scaling to 41% of bookings by 2031.
- △ **Samsung Knox dependency unclear.** Watu Credit uses Knox Guard for 1.46m Kenyan smartphones. Whether Pegasus uses the same is unverified. IC-blocking question.
- △ **Operating cash flow stays negative through FY31.** Even on Pegasus's own forecast, the receivables build consumes all the operating earnings. Pegasus needs continued external financing.
- △ **Auditor is small UK firm,** not Big Four. KLSA LLP signs \$418m-revenue group accounts. Governance probe at Nairobi.
- △ **Three high-severity binary risks.** Kenya Tax Tribunal \$6.8m liability from September 2024. Co-founder \$6m secondary — counterparty not yet disclosed. Customer-experience red metrics on management's own commissioned scorecard.
- △ **Forensic ratios fire.** Beneish + Dechow + Sloan all fire on independent re-computation. Pattern read is canonical growth-stage emerging-market receivables-financier — but partners deserve to see the table.

These must be answered before partner approval.

1. Which co-founder is the \$6m secondary?

2. Operative forum for the Njoki petition?

3. Substance of the April 2026 share-buyback filings?

4. Net 2017–2019 Kenyan tax position?

5. CMA Kenya engagement post-jurisdictional decline?

6. Sumitomo conflict-of-interest framework on Series F buyback?

7. AI model cohort comparator design (gates grade A)?

8. Bad-debt-vs-loss-rate metric reconciliation?

9. Chief Product Officer line — Hughes or Sanderson?

10. Does Pegasus use Samsung Knox Guard or bespoke firmware?

11. Nigeria patent strategy?

12. EADAK joint-venture equity split and IP ownership?

WHAT SPOCK V4 MEANS GOING FORWARD

Investment analysis built for the AI era.

FASTER

From source PDFs to a 20-section IC paper draft in days, not weeks.

MORE RIGOROUS

Every claim source-traced.
Every quantitative result independently re-computed.
Every confabulation caught.

BETTER DISCIPLINED

The same standing rules apply across every deal Chronos screens. Information sanctity. Scar-tissue protection. Indexing convention.

PARTNER TIME RECLAIMED

Roger's job is pattern recognition, judgement, and negotiation. Spock handles the substrate work — the part that doesn't need a partner brain.

WHAT WE'D LIKE FROM YOU

Three asks before the next IC.

1 · FRAMEWORK FEEDBACK

Where does the discipline ring true? Where does it feel over-engineered? Tell us before we ship Spock against the next deal.

2 · A SECOND DEAL CANDIDATE

Listed or private.
Sector you want pressure-tested.
Spock's value is in the second, third, and tenth deal — not the first.

3 · READ THE IC PAPER

The 20-section Pegasus IC paper draft is ready for partner review. Send time on calendar for the Nairobi prep session post-23 May.

Chronos Capital · Pegasus deal walkthrough · 19 May 2026